

Bizzy Coffee

Thank you for preparing a memo for Bizzy

Business Analysis

First, Focus on the Bizzy Coffee business, leaving finance aside as much as possible.

- 1) Describe the business in which Bizzy Coffee operates. What kind of Key Performance Indicators (KPIs) might you recommend from an *operational* standpoint (think about where you might find operational information on the Financial Statements). Be sure and note the implications of Covid 19 and WFH.
- 2) What companies will you use as comparables and why?

Financial Analysis

- 1) Calculate, Report and show the Cash Conversion Cycle for 2019 -2022 (noting that we have 2022 through July). Interpret your findings
- 2) Specifically, What are your DAYS for Inventory, A/P and A/R . What does this indicate?
- 3) Calculate the Net Cash Burn, YoY (Year on Year) and cumulatively between 2019-2022. Show your findings and discuss the results.
- 4) Is the inventory growth really so bad? Show as a % of revenue. Discuss.
- 5) Calculate the Asset Efficiency for 2019 and 2022. Show and Discuss your Findings.
- 6) Now for the Scenarios. Consider the following, using the 2019-2022 period as your base case:
 - a. 10% more revenue from the RTD bottle (you need to confirm % of sales from RTD)
 - b. 48oz bottle COGS reduction by \$0.17 AND 25% inventory reduction for 48oz bottle dependent product.

Your Recommendation

Based on your analysis above, do you propose a or b as your solution. Please provide both the WHY and WHY NOT in your recommendation. What is the implication of a \$200K capital investment for (b)?

What is the implication on your Net Cash Burn for your recommendation?

Your Memo should be 3-5 pages, plus tables and exhibits. Please submit your Memo and corresponding Excel Sheet to canvas.